

Accordingly although unopposed, the MVOA and RISC do not appear to this Court to be one-sided or otherwise substantively unconscionable.

2.

| CASE #      | CASE NAME                      | HEARING NAME                 |
|-------------|--------------------------------|------------------------------|
| CVME2603408 | BADA VS MERCEDES-BENZ USA LLC. | MOTION TO COMPEL ARBITRATION |

**Tentative Ruling:** Motion to Compel Arbitration is Granted. Case is stayed pending Arbitration. All future dates vacated.

**Request for Judicial Notice** - Plaintiff requests judicial notice of the Complaint in this case, which is granted pursuant to Evid. Code § 452(d).

**Motion to Compel Arbitration** - Upon the petition/motion of a party to an agreement to arbitrate, the court must grant a petition to compel arbitration unless it finds: no written agreement to arbitrate exists; the right to compel arbitration has been waived; grounds exist for revocation of the agreement; or litigation is pending that may render the arbitration unnecessary or create conflicting rulings on common issues. (CCP § 1281.2.) A proceeding to compel arbitration is in essence a suit in equity to compel specific performance of a contract. (*Freeman v. State Farm Mutual Auto Insurance Co.* (1975) 14 Cal.3d 473, 479.) The petition/motion to compel must set forth the provisions of the written agreement and the arbitration clause verbatim, or such provisions must be attached and incorporated by reference. (CRC 3.1330; see also *Condee v. Longwood Mgmt. Corp.* (2001) 88 Cal.App.4th 215, 218-19.) There is a strong public policy in favor of arbitration agreements.” (*Blake v. Ecker* (2001) 93 Cal.App.4th 728, 741.) Given the policy favoring arbitration, “doubts concerning the scope of arbitrable issues are to be resolved in favor of arbitration.” (*Eriksen, Arbuthnot, McCarthy, Kearney & Walsh, Inc. v. 100 Oak Street* (1983) 35 Cal.3d 312, 323; see also *Moncharsh v. Heily & Blase* (1992) 3 Cal.4th 1, 9.)

**Existence of an Arbitration Agreement** - Both the Federal Arbitration Act (FAA) and the California Arbitration Act (CAA) require the existence of a valid arbitration agreement between the parties, before arbitration can be compelled. (See 9 U.S.C. §2 and CCP §1281.2) The petition/motion to compel must set forth the provisions of the written agreement and the arbitration clause verbatim, or such provisions must be attached and incorporated by reference. (CRC 3.1330; see also *Condee v. Longwood Mgmt. Corp.* (2001) 88 Cal.App.4th 215, 218-19.) The moving party bears the burden of proving the existence of a valid arbitration agreement, which can be met by attaching a copy of the agreement. (*Ruiz v. Moss Bros. Auto Group, Inc.* (2014) 232 Cal.App.4th 836, 842.) The burden then shifts to the opposing party to demonstrate the falsity of the purported agreement. (*Condee, supra*, 88 Cal. App. 4th at 218-19.)

In this case, Defendant produced a copy of the California Motor Vehicle Lease Agreement (“Lease Agreement”) for the Subject Vehicle, which contains a section titled Important Arbitration Disclosures (“Arbitration Agreement”). The Arbitration Agreement states:

Any claim or dispute, whether in contract, tort or otherwise (including any dispute over the interpretation, scope, or validity of this lease, arbitration section or the arbitrability of

any issue), between you and us or any of our employees, agents, successors, assigns, or the vehicle distributor, *including Mercedes Benz USA LLC (each a “Third Party Beneficiary”)*, which arises out of or relates to a credit application, this lease, or any resulting transaction or relationship arising out of this lease (including any such relationship with third parties who do not sign this contract), *shall at the election of either you, us, or a Third Party Beneficiary*, be resolved by a neutral, binding arbitration and not by a court action.

(Decl. of Leung, Ex. 1, p. 4, emphasis added.) Page 6 of the Lease Agreement appears contain Plaintiff’s signature. Plaintiff does not dispute that she signed the Lease Agreement. Because the Arbitration Agreement applies to claims or disputes involving any relationship arising out of the Lease, Defendant has established the existence of an arbitration agreement covering claims asserted in the Complaint.

**Third Party Beneficiary Status** - Generally, only a party to an arbitration agreement may enforce its terms. (*Ronay Family Limited Partnership v. Tweed* (2013) 216 Cal.App.4th 830, 837-38.) However, there are several exceptions to this rule that allow a nonsignatory to enforce an arbitration agreement. (*JSM Tuscany, LLC v. Superior Court* (2011) 193 Cal.App.4th 1222, 1236–1237.) A third-party beneficiary may enforce an arbitration agreement where the party seeking to compel arbitration shows that *the arbitration clause* was made expressly for its benefit. (*Fuentes v. TMCSF, Inc.* (2018) 26 Cal. App. 5th 541, 552, emphasis in original.) “Whether the third party is an intended beneficiary or merely an incidental beneficiary involves construction of the intention of the parties, gathered from reading the contract as a whole in light of the circumstances under which it was entered.” (*Cione v. Foresters Equity Services* (1997) 58 Cal.App.4th 625, 636 [internal citation omitted].) A third party need not be named in the contract – he merely must show he is a member of the class for which the benefit was made for. (*Prouty v. Gores Technology Group* (2004) 121 Cal.App.4th 1225, 1222.) To establish third party beneficiary status, the nonparty seeking to enforce the arbitration agreement must establish all of the following elements: “(1) whether the third party would in fact benefit from the contract, (2) whether a motivating purpose of the contracting parties was to provide a benefit to the third party, and (3) whether permitting a third party to bring its own breach of contract action against a contracting party is consistent with the objectives of the contract and the reasonable expectations of the contracting parties.” (*Goonewardene v. ADP, LLC* (2019) 6 Cal.5th 817, 829-830.)

Here, Mercedes is named as a third-party beneficiary, and as such, entitled to elect arbitration under the express terms of the Arbitration Agreement. As such, the Arbitration Agreement provides a benefit to Mercedes. Providing this benefit appears to be the motivating purpose of naming Mercedes as the third-party beneficiary. Permitting Mercedes to enforce the Agreement is consistent with the express terms. Accordingly, Defendant has established third party beneficiary standing to compel arbitration.

Plaintiff argues that Defendant cannot enforce the Arbitration Agreement pursuant to the Supreme Court decision in *Ford Motor Warranty Cases* (2025) 17 Cal.5th 1101. However, the Opposition appears to focus mostly on equitable estoppel rather than third party beneficiary status. Under the doctrine of equitable estoppel, a nonsignatory may compel arbitration against a signatory when the causes of action against the nonsignatory are intimately founded in and intertwined with the underlying contract

obligations such that the signatory plaintiff must rely on contract terms in a claim against a nonsignatory defendant. (*Ford Motor Warranty Cases* (2023) 89 Cal. App. 5th 1324, 1332-1333.) The Supreme Court held that the plaintiff's breach of warranty claims were not based on or intertwined with the sales contract containing the Arbitration Agreement. (Id at 1334.) It stated that under California law, a manufacturer's warranties imposed outside of the sales contract are not treated as part of the sales contract. (Id at 1335.) Therefore, the Court held that equitable estoppel did not apply. (Id at 1336.) Defendant does not contend that equitable estoppel applies here. Instead, it argues that it may enforce the Arbitration Agreement as a third-party beneficiary.

In the *Ford Motor Warranty Cases*, the Court also analyzed the manufacturer's contention that it was a third-party beneficiary and determined that the sales contract at issue did not reflect the intention to benefit the manufacturer under the *Goonewardene* test. (Id at 1338.) The Court noted that if the signatories had intended to benefit the manufacturer, they could have simply named it directly or class as a person entitled to compel arbitration, which was not done in that case. (Id at 1339.)

However, unlike the arbitration agreement at issue in the *Ford Motor Warranty Cases*, the Arbitration Agreement here expressly names Mercedes as a third-party beneficiary and states that, as a third-party beneficiary, it is entitled to elect arbitration under the Agreement. (See above.) This shows that the parties intended Mercedes to be a third-party beneficiary.

**Unconscionability** - Once the existence of an arbitration agreement is established, “the party opposing arbitration bears the burden of proving by a preponderance of the evidence any defense, such as unconscionability. (*Cook v. University of Southern California* (2024) 102 Cal. App. 5th 312, 320.) The doctrine of unconscionability has a procedural and a substantive element, the former focusing on oppression or surprise due to unequal bargaining power, the latter on overly harsh or one-sided results.” (*Sonic-Calabasas A, Inc. v. Moreno* (2013) 57 Cal. 4th 1109, 1133.) “[A] sliding scale is invoked whereby the more procedurally oppressive the arbitration clause is, the less evidence of substantive unconscionability is required to warrant the conclusion that the agreements to arbitrate are unenforceable.” (*McManus v. CIBC World Markets Corp.* (2003) 109 Cal.App.4th 76, 91). The party opposing the agreement must prove that it is both procedurally and substantively unconscionable. (*Crippen v. Central Valley RV Outlet* (2004) 124 Cal. App. 4th 1159, 1165.)

Procedural unconscionability involves two factors: oppression and surprise. (*Carlson v. Home Team Pest Defense, Inc.* (2015) 239 Cal. App. 4th 619, 631.) “Oppression occurs ‘where a contract involves lack of negotiation and meaningful choice’ and surprise involves the extent to which ‘the allegedly unconscionable provision is hidden within a prolix printed form.’” (*Haydon v. Elegance at Dublin* (2023) 97 Cal. App. 5th 1280, 1287.) “An adhesive contract is standardized, generally on a preprinted form, and offered by the party with superior bargaining power ‘on a take-it-or-leave-it basis.’” (*OTO, L.L.C. v. Kho* (2019) 8 Cal. 5th 111, 126.) The adhesive nature of an arbitration agreement is sufficient to establish some degree of procedural unconscionability.” (*Sanchez v. Valencia Holding Co, LLC* (2015) 61 Cal.4th 899, 906; *Samaniego v. Empire Today LLC* (2012) 205 Cal.App.4th 1138, 1145.)

It appears to be undisputed that Arbitration Agreement was a contract of adhesion that was required as part of the Lease Agreement. Although the Arbitration Agreement is contained within the larger Lease Agreement, the title is bolded and the font is legible. The signature page also draws attention to the Important Arbitration Disclosure section. Although Plaintiff has not established surprise, the adhesive nature of the Arbitration Agreement shows some level of procedural unconscionability.

While Plaintiff has established some degree of procedural unconscionability, she must also show substantive unconscionability. An arbitration agreement is substantively unconscionable if it is “manifestly unfair or one-sided.” (*Sanchez, supra*, 61 Cal.4th at 915.) In assessing substantive unconscionability, the “paramount consideration” is mutuality of the obligation to arbitrate. (*Nyulassy v. Lockheed Martin Corp.* (2004) 120 Cal.App.4th 1267, 1287.)

Plaintiff attempts to argue that the Arbitration Agreement is substantively unconscionable because Plaintiff was required to waive her right to jury trial. Plaintiff cites no authority for this premise which could potentially render all arbitration agreements substantively unconscionable. Plaintiff has not shown how the Arbitration Agreement is substantively unconscionable. Accordingly, they have not met their burden of establishing both procedural and substantive unconscionability.

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| CASE #      | CASE NAME                                        | HEARING NAME               |
|-------------|--------------------------------------------------|----------------------------|
| CVSW2307900 | GONZALEZ VS<br>AMERICAN HONDA<br>MOTOR CO., INC. | MOTION FOR ATTORNEY’S FEES |

**Tentative Ruling:** Motion is granted subject to a reduction. Plaintiff’s awarded reasonable attorney’s fees in the amount of \$34,103.00 and \$4,421.82 in costs.

Plaintiffs seek attorneys' fees for the total amount of \$56,481.00 (consisting of the lodestar figure of \$37,654.00 and a 1.5 multiplier of \$18,827.00), which Plaintiffs contend are recoverable under Civil Code section 1794, subdivision (d) as reasonably necessary fees. Plaintiffs present the time record of the attorneys of the firm which represented them, for 93.5 hours billed at the various hourly rates ranging from \$300 to \$600. Plaintiffs also seek \$4,421.82 in costs and expenses as referenced in their Memorandum of Costs.

Fees should be reduced. The fees should be reduced for interoffice conferences totaling \$1,476.50, duplicative work totaling \$1,849.50, and anticipated work rate adjustment of \$225.00. No multiplier should apply. The hourly rates billed by Plaintiffs' attorneys up to \$550 are reasonable. Therefore, Plaintiffs should recover \$34,103.00 in fees and \$4,421.82 in costs.

Fees are to be calculated through use of the Lodestar method.

The prevailing plaintiff in action under Song-Beverly Consumer Warranty Act, commonly known as the lemon law, is entitled to award of reasonable attorney's fees. (Civ. Code, §1794(d).) The court is to use lodestar method to determine reasonable fee. (*Doppes v. Bentley Motors, Inc.*, (2009) 174 Cal. App. 4th 967, 998.)